

Contract Modifications; Fraud and Misrepresentation

Reading and Source Guide

This packet follows the assigned sequence: contract modifications, casebook pp. 470-484 and 487-492, with the Selections; then fraud and misrepresentation, pp. 508-526, with the fall supplement. It uses the same detailed case-brief structure as your diversity-jurisdiction packet: citation, parties, material facts, procedure, issues, rules, holdings, reasoning, disposition, and applications.

Assigned sources actually consulted. DKLA's *C&M Textbook 351-700.pdf*, *Contracts- Selections.pdf*, and *FA26 Contracts Supplement.pdf*. Despite its filename, the relevant casebook PDF places printed p. 470 at physical PDF p. 163. The assigned ranges are physical pp. 163-177, 180-185, and 201-219. The supplement contains the district-court *Psenicska* opinion at pp. 22-31, the appellate disposition at pp. 32-34, and the Borat release at pp. 35-36.

Source boundaries. The case accounts track the assigned excerpts. **Full-opinion addition** identifies material restored from complete opinions. **Application** identifies analysis or a hypothetical, rather than a judicial holding. The assigned notes are discussed as notes, rather than silently converted into holdings of the principal cases. Statutory text was checked online; the Restatement explanations follow the actual Selections provided in DKLA. Restatements are persuasive formulations unless adopted by the relevant jurisdiction. This is a reading packet, not a comprehensive citator report.

Important source distinction. The supplement's two-page Borat release is an exemplar from a separate lawsuit by two film participants. Its editorial note reports a dismissal on February 23, 2007. It is not identified as Michael Psenicska's own signed agreement. The *Psenicska* opinions independently describe the agreements relevant to those consolidated cases.

Citation convention. "CB" means printed casebook pages; "SEL" means printed pages in the Selections; "SUPP" means the supplement's consecutively numbered PDF pages. Citations to reported opinions identify the court's published pagination or Westlaw star pages. The source locator at the end includes live links to the opinions, statutory texts, and the three assigned files.

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Contract Modifications: Organizing the Inquiry

What Has Changed, and Why Does the Change Bind?

A modification changes an existing obligation. Begin by identifying the original duty with precision: who must perform, what must be done, when performance is due, and what price or other return is promised. A later agreement may change the price, reduce the work, postpone performance, or discharge the obligation. Calling that agreement a “new contract” does not itself resolve whether it is enforceable. CB 470, 475-480, 483-484.

The traditional pre-existing-duty rule asks whether the promisee has supplied anything legally additional for the new promise. Performance of an undisputed duty already owed to this promisor ordinarily supplies no consideration. A real additional undertaking can solve that problem; a merely pretended bargain cannot. The rule is both broader and narrower than a direct prohibition of coercion: it can invalidate a freely negotiated adjustment, while the presence of a small additional undertaking may satisfy consideration without eliminating improper pressure. CB 470, 483-484; Restatement (Second) § 73, discussed in the assigned text.

Three separate questions therefore recur throughout this unit. Has an agreement to change the duty been made? Does consideration or an applicable substitute make the change enforceable? Was the agreement obtained through duress, bad faith, or another invalidating defect? A signed modification can satisfy a consideration exception and still be voidable because of the way consent was obtained. CB 473-474, 492; SEL 48-50, 86-87, 337-339.

Different Sources Supply Different Routes

At common law, identify new consideration, a genuine discharge and substituted agreement, or an applicable exception such as Restatement § 89. That section addresses promises modifying duties under contracts not fully performed on either side and provides three independent routes: fair adjustment for unanticipated circumstances, statutory validation, and reliance requiring enforcement. *Watkins* predates that formulation and uses its own rescission-and-release reasoning. CB 475-480; SEL 48-50.

For sales of goods, UCC § 2-209 eliminates the consideration requirement for modifications but retains good faith, applicable writing requirements, and the possibility of waiver. New York General Obligations Law § 5-1103 provides a separate route for a modification or discharge in a writing signed by the party to be charged or that party's agent. RLCC § 3 addresses modifications of standard terms in ongoing consumer relationships and demands notice, a meaningful response opportunity, and substantive good faith. None of these rules should be reduced to “both parties agreed, so the change binds.” SEL 337-339, 490-497; SUPP 9.

Pressure and the Available Alternative

Duress focuses on an improper threat that actually induces assent and leaves no reasonable alternative. The other party's power may arise from a contract already underway: workers at a remote cannery, a sole timely supplier of precision components, or a business controlling a consumer's accumulated value. Existing dependence explains why formal assent may not settle the legal question. Yet financial need or an unattractive choice alone does not establish that the other party acted improperly. CB 470-474, 481-483, 487-492; Restatement §§ 175-176.

Application. If a seller insists on a higher price, do not jump directly from the price increase to duress. Determine the original obligation, the seller's stated reason, the buyer's actual alternatives, and the applicable modification rule. An unexpected cost shock, an honest scope dispute, and a manufactured delivery crisis present different problems even when each ends with a signed price amendment.

Alaska Packers' Ass'n v. Domenico

Citation and Parties

Alaska Packers' Ass'n v. Domenico, 117 F. 99 (9th Cir. 1902). Judge Ross wrote the opinion. Assigned excerpt: CB 470-473; notes, 473-475. The workers were the plaintiffs, called “libelants” in the admiralty proceeding, and sought extra compensation. Alaska Packers was the employer, defendant below, and appellant challenging a judgment for the workers.

Material Facts

The workers agreed in San Francisco to sail to Pyramid Harbor, Alaska, and perform fishing, shipboard, loading, unloading, and other requested work during the fishing season. Their original agreement provided \$50 for the season plus two cents for each red salmon in whose capture they participated. The company had a substantial investment in its remote cannery. Once the men were at the operation and the season was opening, they stopped work and demanded \$100 rather than the stipulated seasonal wage. CB 470-471; 117 F. at 100-102.

Replacement labor was unavailable at the remote site during the short fishing season. After unsuccessfully trying to induce performance under the original terms, the superintendent caused a document providing the higher wage to be prepared. The workers resumed their work. At the end of the season, the company refused to honor the increase and paid under the original agreements. The workers then sued for the additional compensation. CB 470-471.

Full-opinion addition. The full record distinguishes the March agreement for \$50 from later shipping articles, signed by 21 workers, providing \$60 plus the per-fish payment. The disputed modification substituted \$100 for the applicable fixed payment. The workers also executed receipts or releases when paid after their return. These details help explain the pleadings, but the appellate court chose consideration as the dispositive issue. 117 F. at 100-102.

The men alleged that the company furnished defective fishing nets and that this justified their demand. The trial court rejected the factual claim after hearing conflicting evidence; the appellate court declined to disturb that finding. Thus, defective nets were a rejected allegation, not a fact establishing an employer breach. The opinion's inference that the employer's economic interest made defective equipment unlikely is part of its reasoning and can be criticized; the controlling record nonetheless contained the adverse finding. CB 471.

Procedural History

The trial court entered judgment for the workers. Alaska Packers appealed. On appeal, the court accepted the trial court's resolution of the disputed evidence about the nets and addressed the legal sufficiency of consideration for the increased-wage agreement. It assumed, for purposes of that inquiry, that the superintendent was authorized to make the agreement. CB 470-473; 117 F. at 102.

Issue

Does a promise of additional pay become enforceable when workers threaten to stop performing their existing duties at a time when their employer cannot replace them, then resume the same performance after obtaining the promise?

Rule and Holding

Performing the exact services already owed under a binding agreement supplies no new consideration for the employer's promise to pay more. On this record, the workers offered no additional performance and had no valid justification for refusing the original work. The wage increase was therefore unenforceable. The court reversed the judgment for the workers. CB 471-473; 117 F. at 102-105.

Reasoning

The original contractual obligation remained in force. The workers' threatened breach did not transform their eventual performance into a new legal detriment. The company was entitled to that performance already. The fact that the company benefited economically from continuation of the fishing operation did not supply the missing additional exchange. The court refused to treat the practical benefit of avoiding a threatened breach as sufficient consideration. CB 471-472.

The remote location, short season, investment already committed, and absence of substitutes made the demand especially troubling. The court viewed the workers as exploiting dependence they encountered after agreeing to the job. Its doctrinal ground was consideration, but its reasoning repeatedly invoked coercion, bad faith, and the danger of rewarding strategic breach. Those policy judgments explain the opinion's severity; they should not replace its stated rule. CB 471-473.

Nor did the court infer a voluntary rescission, waiver, or estoppel. The employer itself knew nothing of the dispute until the expedition returned. The superintendent had told the workers he lacked authority to alter their contracts. Although authority was assumed for the main consideration analysis, those circumstances undermined the proposed inference that the company freely surrendered its rights. Completion of the original work did not cure the defect through an estoppel generated by the workers' own wrongful demand. CB 471-472.

Limits and Comparisons

The case does not hold that every wage increase lacks consideration or that workers can never renegotiate. Additional services, a genuine dispute about the original duty, an applicable statute, or a recognized modification exception could change the analysis. It also is not a modern labor-law decision about rights under collective-bargaining statutes. Its assigned role is to expose the interaction between an existing contractual duty and a strategically timed demand. CB 470-475.

Application: § 89. On the facts the court accepted, there was no demonstrated unanticipated circumstance making the increase fair and equitable. The defective-net theory could have mattered if proved, because it might change either the original duty or the fairness of adjustment. Simply completing the old duty after an opportunistic demand does not make reliance an automatic means of validation.

Application: New York's statute. A qualifying signed writing under § 5-1103 would remove absence of consideration as the reason for invalidity. It would not establish the superintendent's authority, resolve duress, or convert coerced consent into voluntary agreement. Article 2's modification rule would not govern this employment-services arrangement merely because the business ultimately sold salmon. CB 473-474.

Watkins & Son v. Carrig

Citation and Parties

Robert G. Watkins & Son, Inc. v. Carrig, 91 N.H. 459, 21 A.2d 591 (1941). Supreme Court of New Hampshire; Chief Justice Allen. Assigned excerpt: CB 477-480. Watkins, the excavating contractor, sought payment for work performed. Carrig, the customer, sought to limit payment to the original contract price.

Material Facts

The parties made a written agreement to excavate a cellar for a stated total price. Soon after work began, the contractor encountered solid rock. The parties met and orally agreed that rock removal would be paid at a stipulated unit price approximately nine times the unit price used in calculating the initial bid. Rock ultimately occupied about two-thirds of the excavation. The contractor performed in reliance on that adjustment. CB 477-478.

The original agreement covered removal of all material and contained no reservation for unexpected subsurface conditions. The contractor had neither investigated the ground nor asked about it. Carrig had not misled the contractor, and the parties had no understanding that the ground would contain no rock. Consequently, the original contract itself placed the excavation burden on Watkins. CB 477-478; 91 N.H. at 460-461.

Carrig nevertheless agreed to a separate price for the rock. Avoiding delay mattered to him, and he either believed the original price did not cover rock or was willing to give up his right to insist on that price. The court described the new price as fair and the customer as receiving reasonable value. An expensive adjustment was not necessarily an exploitative adjustment. CB 478-479; 91 N.H. at 461.

Procedural History

A referee found that the oral agreement superseded the written agreement and reported a verdict for Watkins. Carrig excepted to acceptance of the report and the order of judgment. The New Hampshire Supreme Court overruled the exceptions, leaving the contractor's favorable result intact. This was not a dismissal at the pleading stage; the court worked from findings about the parties' transaction. CB 477, 480.

Issues

Did the discovery of rock excuse Watkins under mutual mistake? If not, could Carrig's promise of a higher price nonetheless bind him when Watkins performed work already covered by the original agreement? The first question concerns the original duty; the second concerns the parties' power to change that duty.

Rules and Holdings

The contractor was not excused by mutual mistake: it undertook an unqualified excavation obligation without securing a term allocating the rock risk to Carrig. But the parties could voluntarily discharge or modify existing contractual rights and replace them with an agreed adjustment. Carrig's intentional surrender of the right to insist on the original price supported enforcement of the revised arrangement under the court's analysis. CB 477-480.

Reasoning: A Voluntary Adjustment of an Existing Bargain

The court recognized the ordinary pre-existing-duty objection. If the original agreement stayed in force unchanged, Watkins supplied only what it already owed. Yet it declined to make enforcement turn on a rigid chronological ceremony in which the parties first rescinded, paused, and then made a new agreement. A modification involved a partial rescission, and a single transaction could contain both the discharge and the replacement undertaking. CB 478-479; 91 N.H. at 461-463.

An alternative analysis emphasized a completed release. Carrig did not merely promise a gratuitous future benefit; he presently surrendered his contractual right to excavation at the old price. The court treated that intentional discharge of an intangible right as effective even though the overall transaction benefited Watkins and imposed an

additional burden on Carrig. The critical fact was voluntary relinquishment, rather than a fictional additional shovel of work. CB 479-480; 91 N.H. at 463-465.

The court connected its approach to ordinary commercial practice. Parties often adjust an ongoing undertaking when newly discovered conditions make performance much more burdensome. A rule that disregards such sincere adjustments can defeat the parties' reasonable understanding. Even conceding a threatened breach, the court emphasized that Carrig yielded without protest and adopted a new arrangement at a fair price. CB 479-480.

Comparison with Alaska Packers

Both cases involve a promise of more money for work already owed. The divergent outcomes cannot be explained simply by saying that Watkins had no original duty to remove rock: the opinion expressly found that it did. The distinguishing considerations are the newly discovered burden, reasonable value, findings of voluntary surrender, and the different courts' willingness to recognize a discharge embedded in renegotiation. CB 470-480.

The distinction remains contestable. The rock existed before contracting, and excavation in New Hampshire is hardly free from geological risk. Carrig wanted to avoid delay, just as Alaska Packers wanted to avoid a lost season. The assigned notes invite examination of whether the factual difference is strong enough to support the doctrinal difference. The best answer identifies the findings the court relied on while acknowledging that “voluntary” is the conclusion requiring explanation. CB 480.

Relationship to Restatement § 89

The later Restatement uses an excavation illustration closely resembling Watkins: unexpected solid rock, a reasonable ninefold unit-price increase, and completion of the job. Its comment, however, rejects a merely fictitious simultaneous rescission-and-recontracting explanation. It asks directly whether the adjustment is fair and equitable in view of unanticipated circumstances. Do not attribute that later text as the rule the 1941 court expressly applied. SEL 48-49, § 89 comment b and illustration 1.

Application. A contractor's inaccurate estimate does not automatically excuse performance. A customer may nevertheless agree to share the burden. Assess the original risk allocation, the reason for the requested increase, the relationship between the increase and actual cost, available alternatives, and evidence of coercion. “The original contract binds” and “the parties may validly change it” can both be true.

Restatement § 89: Modification of Executory Contract

Text Structure and Scope

Section 89 addresses a promise modifying a duty under a contract “not fully performed on either side.” It makes the promise binding if the adjustment is fair and equitable in view of circumstances not anticipated when the contract was made; to the extent a statute provides; or to the extent justice requires because of a material change of position in reliance on the promise. These are alternative grounds, not cumulative requirements. SEL 48-50.

“Executory” identifies an agreement with performance still outstanding on both sides. The section's opening limitation matters: a later promise to increase payment after one side has completely performed raises a different problem from adjustment during an ongoing exchange. Do not assume § 89 governs every later concession, discharge, or promise concerning an old debt. Another doctrine or statute may do the work.

Subsection (a): Fair and Equitable in View of Unanticipated Circumstances

The inquiry is more demanding than absence of a wrongful threat. Comment b calls for an objectively demonstrable reason for the requested modification. A circumstance can be unanticipated in the relevant contractual sense even if it was foreseeable as a remote possibility. Ask whether the original bargain adequately addressed the event, whether the adjustment responds to that event, and whether it imposes unfair surprise or pressure. SEL 48-49.

The comment identifies the parties' relative financial strength, the formality of the change, and the extent of performance or reliance as relevant evidence. They are not substitutes for the requirement that the modification be fair and equitable. A written document may corroborate deliberate agreement, but it may also record acquiescence extracted from a dependent counterparty.

The excavation illustration validates a reasonable higher rate for unexpectedly encountered rock. Another illustration validates a reduced-profit correction of a materials mistake when the customer checks that alternatives would be more expensive. Conversely, a supplier's increased-price demand can fail when it exploits the customer's inability to obtain substitutes in time, even if costs have risen. SEL 48-49, illustrations 1, 2, and 5.

Subsection (b): Statutory Validation

This branch recognizes that statutes may eliminate the consideration obstacle. UCC § 2-209 is an obvious example for goods; New York § 5-1103 validates qualifying signed written changes without new consideration. The words “to the extent” preserve each statute’s limitations. Section 89(b) does not enlarge a statute beyond its subject matter or dispense with its formal requirements. SEL 49, comment c.

Subsection (c): Material Reliance and Justice

A modification promise may become binding because the promisee or another person materially changes position in reliance on it. The extent of enforcement follows the demands of justice rather than an automatic rule granting the entire promised benefit in every case. The comment connects this route to § 90 and to waiver principles. SEL 49-50, comment d.

Evidence of reliance should be specific. Did the promisee incur additional costs, forgo alternatives, change its resale price, or perform on the basis of an agreed adjustment? Was that response foreseeable and justified? Was the promise itself extracted by wrongful pressure? A party cannot simply invoke the word “reliance” and omit the fairness of enforcing the promise in context.

Relationship to Rescission and Duress

The Restatement rejects using simultaneous rescission as a fiction that would validate every one-sided change. A purely formal reset could permit the very unfair modifications that the pre-existing-duty rule sought to prevent. Section 89 provides a more direct justification when the facts support adjustment. Its comment’s criticism is especially useful when comparing the reasoning of *Watkins* and the casebook’s discussion of *Schwartzreich*. CB 475-480; SEL 48.

A conclusion that § 89 supplies enforceability does not end the analysis of duress. A genuine cost increase may justify asking for more; the manner of demanding it can still be improper. Conversely, failure to establish duress does not itself establish that § 89(a)’s affirmative fairness and changed-circumstances requirements are met.

Restatement §§ 175 and 176: Duress by Threat

Section 175(1): Inducement, Impropriety, and No Reasonable Alternative

A contract is voidable by the victim when the other party's improper threat induces assent and leaves no reasonable alternative. Each element has independent work to do. An improper threat that did not affect the decision is insufficient. Severe financial pressure without an improper threat is insufficient. An improper threat accompanied by an adequate practical alternative may also fail the test. SEL 86-87.

The rule makes the contract *voidable*, meaning the victim has a power to avoid it; it does not treat every manifestation of assent as automatically nonexistent. By comparison, § 174 concerns physically compelled conduct that is ineffective as assent. The distinction helps explain why ratification, timely disaffirmance, and continuation after the pressure ends can matter in a threat case. SEL 86; CB 491.

Causation and the Victim's Circumstances

Comment c takes a subjective approach to inducement: did the threat substantially contribute to this person's decision? Age, background, experience, relationship, and available advice may bear on that question. The victim need not be a person of exceptional courage. The fact that accepting the terms was rationally preferable to the threatened harm is entirely consistent with duress. CB 481-482; SEL 86-87.

The reasonable-alternative requirement is a practical inquiry. A damages action that arrives too late to prevent business collapse or an irreparable delivery failure may be inadequate. Another supplier may exist in a directory without being able to perform on time or to specification. On the other hand, an available injunction, timely substitute, genuine opportunity to refuse, or adequate legal remedy can undermine the claim. *Austin* supplies a concrete example of the necessary proof. CB 489-491.

Section 175(2): A Threat Made by a Third Person

When the threat comes from someone outside the transaction, the victim may ordinarily avoid the contract, but the rule protects an innocent counterparty who, in good faith and without reason to know of the duress, gives value or materially relies on the transaction. This qualification balances the victim's impaired choice against another party's innocent change of position. SEL 86.

Application. In the casebook's parental-guaranty problem, identify who threatened prosecution, who received the guaranty, and whether that recipient knew or had reason to know of the pressure. A bank's own threat cannot be analyzed as innocent third-party conduct merely because the threatened prosecution concerns the guarantors' son. CB 469-470; §§ 175(2), 176(1)(b).

Section 176(1): Categories of Improper Threats

The first subsection identifies four categories without adding a separate requirement that the resulting exchange be unfair. They cover a threatened crime or tort, including a threat that would itself be criminal or tortious if property were obtained; threatened criminal prosecution; threatened civil process made in bad faith; and a threat breaching the contractual duty of good faith and fair dealing owed to the recipient. SEL 87.

Criminal prosecution and civil litigation are treated differently. A threatened criminal prosecution falls within the stated category without an additional bad-faith condition. A threat to use civil process is not improper under § 176(1)(c) merely because litigation is costly; bad faith is required. Separately, other facts might bring the threat within another part of § 176.

The contractual good-faith provision is particularly relevant to modifications. An opportunistic threat to withhold promised performance can violate the existing relationship's good-faith obligation. It is still necessary to connect that improper threat to inducement and the absence of a reasonable alternative under § 175. SEL 86-87.

Section 176(2): Unfair Terms Plus Improper Use of Power

The second subsection requires an exchange not on fair terms *and* one of three additional circumstances: the threatened act would harm the recipient without significantly benefiting the threatening party; prior unfair dealing by the threatening party substantially increases the threat's effectiveness; or the threat otherwise uses power for illegitimate ends. Unfair terms alone do not exhaust this test. SEL 87.

Application. Threatening an act one otherwise has a legal right to perform does not automatically place the threat beyond scrutiny. The purpose, history, and resulting exchange may matter under subsection (2). Conversely, describing an agreement as “unfair” is not enough without identifying the source and improper use of pressure.

Austin Instrument, Inc. v. Loral Corporation

Citation and Parties

Austin Instrument, Inc. v. Loral Corp., 29 N.Y.2d 124, 272 N.E.2d 533 (1971). New York Court of Appeals; Chief Judge Fuld's four-judge majority, with Judge Bergan dissenting for three judges. Assigned excerpt: CB 487-492. Austin supplied precision gears. Loral manufactured radar equipment under contracts with the Navy. Austin sought an unpaid balance; Loral sought recovery of coerced price increases.

Material Facts

Loral received a \$6 million Navy radar contract in July 1965. It required scheduled deliveries and exposed Loral to liquidated damages for delay and cancellation for default. Loral awarded Austin a subcontract for 23 of approximately 40 gear components. Austin began delivering in early 1966. When Loral received a second Navy contract, Austin bid on all 40 components required for that additional work. CB 487-488; 29 N.Y.2d at 128-129.

Loral informed Austin that it would receive only the second-contract items on which it was the low bidder. Austin then demanded both the entire second subcontract and substantial price increases under the first subcontract, covering components already delivered as well as future deliveries. It threatened to stop supplying parts already owed and then did stop deliveries. This use of the first subcontract to obtain concessions on two fronts is central to the majority's account. CB 488.

Loral contacted ten manufacturers from its approved precision-gear vendor list. None could begin supplying parts soon enough to meet the Navy schedule; the best response promised commencement of delivery in October. Loral needed components for radar deliveries in September, October, and November. It feared contractual penalties, cancellation, and harm to future government business. It agreed to the increase and awarded Austin all 40 items under the second subcontract, stating in writing that it had no alternative. CB 488-490.

Austin resumed delivery, and Loral completed the Navy commitments, in part by working around the clock. Three days after Austin's final delivery under the second subcontract in July 1967, Loral demanded recovery of the price increases. Its explanation for waiting was that dependence on Austin continued until that last delivery. CB 490-491.

Procedural History and Claims

Austin sued for more than \$17,750 still owed under the second subcontract. Loral separately sued for about \$22,250, the aggregate increases paid under the first subcontract. The actions were consolidated. After trial, Austin won its claim, and Loral's claim was dismissed for failure to show the parts could not have been obtained elsewhere in time. A divided Appellate Division affirmed. Loral appealed. CB 488-489.

The Court of Appeals modified the order by reversing the dismissal of Loral's claim and remanding to compute its damages. It otherwise affirmed. This was not a wholesale cancellation of both subcontracts. **Full-opinion addition:** the majority expressly notes that Loral made no claim in this action concerning the second subcontract. 29 N.Y.2d at 129 n.2, 134.

Issue and Rule

Was Loral's agreement to the first-contract price increases induced by economic duress as a matter of law? A wrongful threat to withhold contracted goods does not alone establish economic duress. The threatened party must also lack an available alternative source within the relevant time and lack an adequate ordinary action for breach. CB 489; 29 N.Y.2d at 130-131.

Holding

The majority held that the record established economic duress as a matter of law. Austin's stoppage, Loral's unsuccessful search for timely replacements, the Navy's delivery requirements, and the inadequacy of a later damages action left Loral no realistic alternative to acceptance followed by suit for the excess. CB 489-491.

Majority Reasoning: Why the Alternatives Were Inadequate

The emergency was tied to actual production obligations. Loral could not wait until the day of final delivery to obtain parts; the radar sets had to be assembled first. The September extension given to Austin therefore did not establish that Loral could calmly wait for an October replacement supplier. Actual shipments in August and early September still required extraordinary production effort. CB 490.

The ten manufacturers were Loral's approved suppliers for highly specialized components. The majority did not require Loral to experiment with unfamiliar or previously unsatisfactory firms during a production crisis. It found that Loral contacted the manufacturers it reasonably believed capable of making the parts. The existence of additional names in a trade registry was not equivalent to timely, suitable replacement performance. CB 490-491.

The majority also rejected the assertion that Loral should first ask the Navy for an extension. Replacement suppliers promised only to begin deliveries, not to deliver the full quantities by a reliable date. Loral could not know what extension it would need, and it had legitimate reasons to preserve its government relationship. The court treated these consequences as concrete business dangers, not merely self-imposed subjective anxiety. CB 489-490.

Suing Austin immediately for breach would not produce the components needed to perform the Navy contracts. A later money judgment could leave the missed deliveries, contractual penalties, and lost business opportunities untouched. Thus, the legal availability of a breach claim did not make that claim an adequate practical alternative. CB 491.

Disaffirmance and Continued Pressure

The majority acknowledged that a party seeking return of money paid under duress must act promptly. It nevertheless accepted Loral's delay because Austin could repeat the stoppage while deliveries remained outstanding. The relevant endpoint was the end of practical dependence, not simply the date on which Loral first signed the price increase. Notice three days after the last delivery was sufficiently prompt in these circumstances. CB 491.

Dissent

Judge Bergan, joined by Judges Breitel and Jasen, challenged the majority's treatment of the record and the appellate court's role. The lower courts had resolved the facts in Austin's favor. Austin described a commercially understandable renegotiation arising from Loral's alleged failure to honor an understanding about quantities and a customary vacation shutdown. The parties also contested the adequacy of Loral's supplier search. Those factual conflicts, the dissent argued, prevented a finding of duress as a matter of law. CB 491-492; 29 N.Y.2d at 134-135.

The dissent did not reject economic duress as a doctrine. It disputed whether the appellate majority could override the trial-level resolution of voluntariness and alternatives. A strong brief therefore addresses both substantive duress and the institutional question of who decides disputed facts.

Article 2 and the Assigned Questions

Because the contracts concerned goods, § 2-209 eliminated a need for new consideration for the modification. Duress remained available through UCC § 1-103(b), which preserves supplemental principles unless displaced. The case illustrates why eliminating the pre-existing-duty barrier does not eliminate policing of coercion. CB 492.

Application. Without duress or bad faith, lack of new consideration alone would not justify Loral's repudiation of a valid goods modification. The second subcontract also involved a new exchange of goods for money, so it presents a separate consideration question. A secret intention never to pay an outwardly accepted increase is not itself a legal defense; Loral's contemporaneous protest and continuing coercion matter to the actual analysis.

UCC § 2-209: Modification, Rescission, and Waiver

Subsection (1): No New Consideration, but an Agreement Is Required

A modification of a contract within Article 2 needs no consideration to bind. This rule permits genuine commercial adjustment without searching for a nominal additional obligation. It does not authorize a seller or buyer to rewrite the contract unilaterally. Identify assent to the change and then ask whether the transaction satisfies the section's other requirements and the Code's duty of good faith. SEL 337-339; UCC § 2-209.

Official Comment 2 says that extorting a modification without a legitimate commercial reason violates good faith. A genuine market shift causing losses may justify adjustment even if the shift would not excuse performance under impracticability rules. The standards for an enforceable adjustment and an excuse from the original contract are therefore different. SEL 338.

Subsection (2): Contractual Requirements of a Signed Writing

A signed agreement may require that modification or rescission occur only by signed writing. That restriction is generally enforceable under subsection (2). When a merchant supplies the form to a nonmerchant, however, the provision requiring signed modifications must be separately signed by the other party. The merchant-consumer proviso is easy to omit and can matter independently of whether the original form was signed elsewhere. SEL 338-339.

Application. A merchant's standard sales form requiring all changes to be signed raises two questions: did the parties adopt that term, and, if the customer is a nonmerchant, was the requirement separately signed? Even a failure to satisfy an effective writing-only clause may leave a waiver issue under subsection (4).

Subsection (3): Statute of Frauds

The modified contract must satisfy Article 2's statute of frauds if the contract as modified falls within it. Ask about the agreement after the change, not merely its original price or form. A modification crossing the applicable statutory threshold can trigger writing requirements. An existing agreement within the statute can also require a sufficient writing to support the changed obligation. SEL 338; §§ 2-201, 2-209(3).

The supplied uniform text uses the familiar \$500 threshold in § 2-201, subject to that section's exceptions. In an actual dispute, consult the governing state's enactment. The key point for this reading is that § 2-209(1)'s elimination of consideration does not eliminate the separate statute-of-frauds inquiry.

Subsection (4): An Ineffective Modification Can Operate as a Waiver

An attempted modification or rescission that fails subsections (2) or (3) can still operate as a waiver. This gives legal significance to conduct inconsistent with insistence on strict contractual rights even when the attempted formal change is deficient. The statutory word “can” matters: every unsuccessful oral renegotiation does not automatically establish a waiver. Identify the right allegedly relinquished and the conduct supporting that inference. SEL 338-339.

Modification and waiver should be analyzed separately. A modification is an agreed change in obligations. A waiver may arise from a party's abandonment of insistence on a term, and its future retraction receives separate treatment. The Code does not allow a writing requirement to make the parties' actual course of conduct categorically irrelevant.

Subsection (5): Retraction and Reliance

A party may retract a waiver affecting an executory part of the contract by reasonable notification received by the other party that strict performance will again be required. Retraction is unavailable when it would be unjust because the other party materially changed position in reliance on the waiver. The provision therefore distinguishes future performance from completed transactions and places a substantive limit on restoring the original terms. SEL 338.

Application. A buyer who repeatedly accepts late deliveries may have waived punctual delivery for those installments. A reasonable received notice may restore the requirement for future installments, unless the seller has materially relied so that restoration would be unjust. This does not automatically permit rewriting the price or retroactively treating accepted past deliveries as untimely breaches.

How the Section Fits the Cases

Alaska Packers concerns services and illustrates a consideration doctrine that § 2-209 changes for goods. *Austin* concerns goods and shows why the good-faith and duress inquiries remain essential after that change. An answer should state which rule supplies enforceability and which rule supplies a possible defense. CB 473-474, 492.

New York General Obligations Law § 5-1103

Operative Rule

An agreement, promise, or undertaking to change, modify, or discharge an existing contract, obligation, lease, mortgage, or other covered security interest is not invalid for absence of consideration if it is in writing and signed by the party against whom the change is to be enforced, or that party's agent. The assigned supplement reproduces the statute at p. 9; the casebook quotes it at p. 473.

The section removes one specified objection: lack of consideration. It does not announce that every signed document is enforceable. Assent, signature, authority, interpretation, and defenses such as fraud or duress still require analysis. Its wording also accommodates partial discharge rather than only an increase in one party's duty. SUPP 9; N.Y. Gen. Oblig. Law § 5-1103.

Whose Signature Matters?

The relevant signature is that of the party against whom enforcement is sought or an authorized agent. If a contractor seeks a higher price from the owner, the owner's qualifying signature matters. If the owner seeks enforcement of a reduction in the contractor's rights, the contractor's qualifying signature matters. A signature proves neither the signer's agency authority nor freedom from coercion by itself.

Comparison with UCC § 2-209

The New York statute reaches many obligations beyond sales of goods but makes a qualifying signed writing central to its consideration substitute. Article 2 permits modifications without consideration and does not universally require a signed writing; writing requirements arise from § 2-209(2), the statute of frauds through subsection (3), and related rules. These provisions overlap for some goods transactions but are not interchangeable. CB 473-474; SEL 337-339.

Application to Alaska Packers. Under a hypothetical application of New York law, the workers would need to show a writing signed for the employer by someone with authority. If the statute applied, the court could not reject the increase solely for lack of consideration. The employer could still contest authority and assert coercion. The superintendent's warning that he lacked authority would therefore remain relevant even after the consideration objection was removed.

Distinguishing Adjacent Statutes

Section 5-1105, also reproduced in the supplement, concerns a written promise expressing past consideration. Section 5-1109 concerns certain written assurances that an offer is irrevocable. They address different problems. An amendment to an existing bargain belongs in § 5-1103; a promise given for a previously completed benefit or an assurance about keeping an offer open calls for a different analysis. SUPP 9.

RLCC § 3: Modification of Standard Consumer Terms

Identity, Scope, and Source

“RLCC” in this assignment refers to the *Restatement of the Law, Consumer Contracts*. The assigned Selections title § 3 “Modification of Standard Contract Terms,” beginning at printed p. 490. The discussion here follows that assigned text and its comments. It concerns standard terms in a consumer contract governing an ongoing relationship, such as an account or continuing service. It is not a general license to change every contract by posting new terms online. SEL 490-497.

As a Restatement, it expresses a proposed synthesis of contract law rather than independently enacted law in every state. The American Law Institute published the official Consumer Contracts volume in 2024. For class analysis, the assigned text controls the provision being studied; for an actual dispute, a jurisdiction's adoption and controlling decisions must be checked.

Subsection (a): Notice, Review, Rejection, and Assent or Continuation

The business must give reasonable notice of the proposed modified term and a reasonable opportunity to review it. The consumer must also receive reasonable notice of a reasonable opportunity to reject that term and continue the relationship under the existing term. Only then does the section recognize either manifested assent or failure to reject followed by continuation beyond the proposal's rejection period. SEL 490.

Continued use is therefore not self-sufficient. It has significance within a procedure that has first supplied meaningful notice and a rejection opportunity. The baseline protects the consumer's existing bargain: rejection ordinarily permits continuation on the original term. It is not simply “accept the new terms or lose the service.”

Subsection (b): An Agreed Modification Procedure

An ongoing consumer contract may establish a reasonable process under which the business proposes later changes. It may not exclude subsection (a) to the consumer's detriment, with a specified qualification: the established procedure may substitute a reasonable opportunity to terminate without unreasonable cost, loss of value, or personal burden for the opportunity to reject while continuing on the existing terms. SEL 490.

That qualification requires careful analysis. A prior clause does not necessarily authorize any future change on any terms. The procedure must be reasonable, and the exit must avoid unreasonable burdens. Investments already made, switching costs, accumulated value, and the practical difficulty of moving can make a nominal right to quit inadequate. SEL 491, 494-495, comments 1 and 6.

Subsection (c): Substantive Limits

The modification must be proposed in good faith and must not undermine an affirmation or promise by the business that formed part of the basis of the original bargain. Procedural assent does not itself satisfy these substantive requirements. A business cannot necessarily induce enrollment with a central benefit and then strip away that benefit through later boilerplate after the consumer is committed. SEL 490, 495-497.

The comments contemplate legitimate adjustments responding to economic or legal changes and warn about opportunistic use of the consumer's dependence. This is related to, but different from, § 89's analysis of unanticipated circumstances: RLCC § 3 has its own scope, procedures, and anti-undermining rule. One should apply the actual elements rather than importing a general slogan of "fairness."

Why the Section Appears in the Modification Unit

Traditional consideration analysis is poorly suited to a business changing standard terms across a large continuing customer base. RLCC § 3 places attention on how consumers are informed, whether refusal is meaningful, and whether the new term preserves the original bargain's promised value. The recurring concern resembles *Alaska Packers* and *Austin*: after dependence develops, one party may obtain apparent assent by exploiting the cost of ending the relationship.

Application: hidden update. A service quietly replaces a linked terms page and treats every continuing user as consenting. Analyze the missing reasonable notice, opportunity to review, and disclosed rejection period. Mere availability somewhere on the website does not establish those elements.

Application: meaningful opt-out. A service sends a clear proposal, explains how to decline while retaining the existing term, allows a reasonable period, and honors rejection. A consumer who receives the notice, does not reject, and continues after the period may adopt the change under subsection (a). The modification must still survive subsection (c).

Application: exit after substantial investment. A service points to an original modification clause and offers only cancellation. Ask whether the clause established a reasonable process and whether cancellation would impose unreasonable switching costs, forfeiture of acquired value, or personal burden. Also ask whether the proposal undermines a core original promise. These are analytical examples, not reported holdings of the principal cases.

Modification Notes and Problems

Rescission and the Schwartzreich Example

The casebook's discussion of *Schwartzreich v. Bauman-Basch* involves a clothing designer promised \$90 per week who received a \$115 offer before beginning work. The original employer offered \$100 to retain him. The parties signed a replacement agreement and removed their signatures from the first. The court recognized a consensual termination followed by a new bargain. CB 475-477.

Application. The physical destruction of signatures evidences intent to substitute an agreement, but treating that ceremony as decisive risks elevating form over substance. Compare *Watkins*, which recognizes discharge within a single transaction, with § 89's rejection of fictitious rescission. A better analysis asks what rights were actually surrendered and what applicable rule authorizes enforcement.

Work Reduction

The assigned roofing problem eliminates a promised gutter installation after workmen arrive. Under traditional consideration doctrine, the contractor receives a concession while apparently promising no additional performance. Under Article 2, if it governs the mixed goods-and-services transaction, new consideration is unnecessary, but genuine agreement and good faith remain necessary. Whether Article 2 governs must be determined rather than assumed from the presence of roofing materials. CB 475.

Application. A customer could freely agree to less work, particularly with an appropriate price reduction or another real adjustment. A contractor's strategic announcement at the moment of dependence may instead raise duress or bad faith. The problem is not resolved simply by the customer's initials on an amendment.

Hawaiian Housing

The metalwork subcontractor mistakenly priced galvanized metal instead of the required zinc alloy. Its initial bid was \$49,000; after two months of hard bargaining, the parties agreed on \$62,000. The next-lowest bid was \$83,000. The contractor secretly intended not to pay the higher amount and later invoked the pre-existing-duty rule. The subcontractor also delayed disclosure of its mistake after learning of the main award. CB 483.

Application. The materials error and competing bids can support an objectively grounded, commercially reasonable adjustment under § 89(a). The delay in disclosure, existing bid obligation, availability of substitutes, and each party's conduct can point the other way. A secret intention not to honor the signed adjustment does not erase outward assent. Distinguish whether the bid was already binding from whether the later agreement validly changed it. The casebook presents the question for analysis; this paragraph is not a statement of an independently verified disposition.

New Consideration and Risk Allocation

The notes suggest familiar ways of supplying something different: earlier payment, a different place or manner of performance, or additional work. The legally relevant point is a real bargain for a changed performance, not the monetary size of the extra item alone. Restatement § 73 excludes a merely pretended bargain. CB 483-484.

Risk allocation and enforceability of a modification are also separate. A contractor may bear the original risk of difficult performance and still request, and receive, an enforceable concession. That is why *Watkins*'s rejection of mistake does not settle the case. But an original allocation of precisely the disputed risk may weaken an assertion that § 89(a)'s changed-circumstances route applies.

Financial Stress: Totem Marine

The assigned problem asks whether a financially endangered carrier's acceptance of a \$100,000 settlement of a \$300,000 claim necessarily binds it. The problem includes delays, disputes over performance, and the carrier's stated need for prompt payment to avert bankruptcy. It references *Totem Marine Tug & Barge v. Alyeska Pipeline Service Co.*, 584 P.2d 15 (Alaska 1978). CB 492.

Application. The carrier's distress alone does not prove duress. Ask whether the customer wrongfully withheld money it knew was due, exploited the resulting dependence, and left litigation too slow to be an adequate alternative. An honest dispute and good-faith compromise support enforcement; deliberate use of a known inability to survive until judgment supports avoidance. The presence of an attorney helps assess the circumstances but is not dispositive.

Fraud and Misrepresentation: Organizing the Inquiry

Separate the Statement, the Fault, the Reliance, and the Remedy

The assigned readings move from silence to half-truths, predictions, expert evaluations, and written disclaimers. Identify precisely what was communicated, expressly or by implication, and whether the claim concerns an existing fact, an undisclosed fact, a promise, an opinion, or a statement about law. Context can change a statement's meaning: reporting present apartment income while promoting continued rental use can convey more than a historically accurate revenue figure. CB 508-526.

Fraud as a tort ordinarily requires knowing or reckless falsity, intent to induce action, legally sufficient reliance, and resulting injury. Rescission for misrepresentation is not invariably limited to intentional fraud; an innocent but material misrepresentation can justify avoidance under the relevant rule. The casebook makes this distinction using *Halpert v. Rosenthal*. Do not transfer every damages element automatically into an equitable rescission claim. CB 518.

For a doctrinal cross-reference, Restatement (Second) § 164 addresses assent induced by a fraudulent or material misrepresentation on which the recipient is justified in relying. This is an additional organizing reference, not an extra provision listed in the assignment. Materiality, actual inducement, justified reliance, and the available remedy should be addressed distinctly. The assigned Selections' misrepresentation provisions supply the surrounding framework.

Nondisclosure and Half-Truths

The hard question in silence cases is what creates a duty to speak. *Swinton* applies an older Massachusetts rule of nonliability for bare nondisclosure in an arm's-length sale without a special duty. *Kannavos* accepts that starting point but finds that affirmative representations made the omissions misleading. The seller's participation in producing a false impression changes the legal character of silence. CB 510-516.

The introduction's discussion of *Laidlaw v. Organ* and the notes on valuable information explore why the law sometimes allows an informational advantage. Incentives to investigate, the difference between productive and redistributive information, and unequal access help frame the debate. These economic explanations are competing accounts of disclosure rules, not automatic exceptions to an established duty or permission to make deceptive statements. CB 508-510.

Opinion, Promises, and Disclaimers

A prediction may express aspiration, undertake a warranty, or misrepresent present knowledge or intent. *Speakers of Sport* stresses competitive puffery and Illinois's restriction on promissory fraud. *Vokes* stresses superior knowledge and a sustained course of alleged deception. The use of adjectives or future tense alone cannot classify either case. CB 519-526.

Finally, *Psenicka* asks whether the written agreement specifically negates reliance on the very oral statements alleged to be fraudulent. That issue differs from whether the alleged statements were morally defensible. Read the release, the integration language, the specific nonreliance language, and the description of the project as separate provisions before analyzing their combined effect. SUPP 22-36.

Swinton v. Whitinsville Savings Bank

Citation and Parties

Swinton v. Whitinsville Savings Bank, 311 Mass. 677, 42 N.E.2d 808 (1942). Massachusetts Supreme Judicial Court; Justice Qua. Assigned excerpt: CB 510-511; notes, 511-512. Swinton was the purchaser and tort plaintiff. The bank was the seller and defendant.

Alleged Material Facts

The bank sold Swinton a house in Newton for use as his family's home. The declaration alleged that the house was infested with termites, the bank knew about the infestation and internal damage, and ordinary inspection would not readily reveal the condition. Swinton claimed he did not know of the termites when purchasing and later incurred substantial expenses for repair and termite control. **Full-opinion addition:** the sale occurred around September 12, 1938, and discovery was alleged around August 30, 1940. CB 510; 311 Mass. at 677-678.

The pleading described the bank's conduct as fraudulent concealment. But it did not allege a false statement, misleading half-truth, affirmative obstruction of investigation, fiduciary relationship, or special relationship of trust. The legal question arose from silence despite knowledge, rather than an allegation that the bank covered damaged beams or lied in response to a direct question. CB 510-511.

Procedural History

The Superior Court sustained a demurrer to the declaration. Swinton appealed. A demurrer tests whether the pleaded facts amount to a legally sufficient claim; it does not resolve disputed evidence after trial. The Supreme Judicial Court affirmed the order and directed judgment for the bank. 311 Mass. at 677-679; CB 511.

Issue, Rule, and Holding

In an arm's-length real-estate sale, does a seller's knowing failure to disclose a concealed termite infestation, without an additional duty-triggering circumstance, support the pleaded tort claim? The court held that bare nondisclosure did not create liability under the Massachusetts rule it applied. Characterizing the silence as fraudulent added nothing without supporting facts establishing a duty to speak. CB 510-511.

Reasoning

The court distinguished moral disapproval from the legal obligation to disclose. It acknowledged the appeal of protecting a buyer from an unfamiliar hidden danger. But it feared that liability based solely on superior knowledge of a defect would impose an expansive requirement that each party reveal information affecting the other's evaluation of a transaction. CB 510-511; 311 Mass. at 678-679.

The bank had not, on the allegations, induced a misleading impression through a statement or active concealment. Nor had it assumed a role requiring special loyalty or disclosure. Treating an arm's-length transaction as though it carried that duty would substantially alter the rule the court understood its precedents to establish. The opinion therefore treats silence differently from a lie or a half-truth.

The court also resisted making a special rule for termites based on how common the infestation was or how likely a buyer was to discover it. Its reasoning sought a general administrable boundary. That policy choice is open to criticism: the seller knew about a serious hidden condition and the buyer did not. A brief should preserve both the rule and the tension, rather than turning the decision into approval of the seller's conduct.

Scope and Remedy

The disposition rejected the pleaded tort action. It did not award specific performance to the seller, adjudicate a warranty claim, or conduct a separate rescission analysis. The assigned notes expressly ask how those alternative remedial settings might differ. One should not report that the court held every possible remedy unavailable, nor assume that switching the requested remedy would necessarily cure the absence of a duty or actionable misrepresentation. CB 511-512.

The case also should not be presented as a universal contemporary rule for home sales. The assigned notes describe decisions recognizing duties concerning latent defects, builder warranties, and statutory disclosure regimes. Their existence shows why governing jurisdiction, type of sale, and applicable legislation matter. The packet uses *Swinton* for its historical doctrinal position, not as a current nationwide seller's checklist. CB 511-512.

Applications and Comparison

Application: covered damage. If the seller actively masks termite damage, the facts no longer fit bare nondisclosure. The inquiry becomes whether conduct prevented discovery or falsely represented the property's condition.

Application: partial answer. If the seller says “we have never needed structural repairs” while withholding a current infestation, analyze whether the answer creates a misleading impression. The duty can arise from what was said and implied, even if there was no initial obligation to volunteer every fact.

Comparison with Kannavos. Both sellers knew adverse information. The decisive distinction is not simply that one defect was more serious or more accessible. In *Kannavos*, affirmative marketing and representations about rental operation made the omitted restrictions deceptive. In fact, the zoning problem was discoverable from public records, yet the buyers received relief. CB 513-516.

Kannavos v. Annino

Citation and Parties

Kannavos v. Annino, 356 Mass. 42, 247 N.E.2d 708 (1969). Massachusetts Supreme Judicial Court; Justice Cutter. Assigned excerpt: CB 513-516. The purchasers sought rescission from the vendors associated with Annino Realty Trust. The casebook principally describes the eight-apartment property at 11 Ingersoll Grove. The full opinion concerns two related suits and additional nearby properties.

Material Facts

The vendors acquired single-family houses in a Springfield residential district where multifamily uses were prohibited. They converted the houses into furnished apartments without obtaining building permits and knew the use violated zoning. They marketed the properties as income-producing apartments. The broker supplied income and expense figures, and the vendors knew the purchasers intended to continue operating the rentals. CB 513-515; 356 Mass. at 43-46.

Kannavos wanted income real estate and lacked prior real-estate experience. He bought in reliance on the representations and the properties' appearance as operating apartment houses. Neither side directly discussed zoning or building permits, and the purchasers made no independent inquiry into the restrictions. Their lack of a direct question did not mean the vendors had said nothing about the property's profitable use. CB 513-515.

The important communications were substantially accurate when read narrowly: the houses had been divided into apartments and were being rented. But they were promoted as suitable continuing rental investments, and the master found representations that the buyers could continue the multifamily operation. The legal prohibition made that overall impression misleading. CB 514-516.

City authorities subsequently notified the purchasers of violations and sought to abate the multifamily use. The purchasers promptly sought rescission. They would not have bought had they known the violations, and the properties were worth substantially less as single-family dwellings. **Full-opinion addition:** one purchasing group consisted of Kannavos and his wife; another consisted of Kannavos and John Bellas. 356 Mass. at 43-46.

Procedural History

The purchasers brought bills in equity alleging fraudulent misrepresentation and concealment. The trial court overruled demurrers, considered a master's report, and entered final decrees granting rescission. The vendors appealed. The appellate court concluded that the findings supported entitlement to rescission. CB 513, 516; 356 Mass. at 43, 50-51.

Issue and Holding

Does a seller who promotes property as an ongoing rental investment have to disclose known zoning and building violations that make the promoted use unlawful, even if the buyer could discover them in public records? Yes. The vendors' affirmative conduct and partial disclosures created an intentionally misleading impression; the purchasers were entitled to rescind. CB 514-516.

Rule: A Speaker Must Avoid Misleading Half-Truths

Even when no initial duty requires volunteering information, a person who speaks on a subject must disclose the material facts necessary to keep the communication from being deceptive. Literal truth is not enough when fragmentary information creates a false overall impression. The rule turns on the subject of the representations and the omitted facts bearing on that subject, rather than a universal duty to disclose everything known. 356 Mass. at 48-50; CB 514-516.

Reasoning

The court assumed that complete silence might have brought the cases within *Swinton*. But the vendors did much more: they converted and furnished the buildings, advertised their income potential, supplied financial figures, and represented continued multifamily use. They thereby created the premise on which the purchasers valued the investment. Knowledge of the zoning prohibition made omission of it deceptive in the context of those affirmative acts. CB 514-516.

The vendors argued that public records made the problem discoverable. The court distinguished a prudent buyer's ability to investigate from a seller's responsibility for misleading representations. In Massachusetts, the failure to use due diligence does not necessarily defeat relief when a buyer actually relies on fraudulent statements or conduct treated as fraudulent. The purchasers' omission to obtain their own counsel was relevant background, but it did not absolve the vendors. CB 515-516.

That point does not eliminate reliance as a requirement. The findings established that the purchasers relied on the rental representations and would not have bought had they known the restrictions. The court was not granting relief to buyers who already knew the true zoning status or proceeded wholly independently of the sellers' communications.

Precise Disposition

Full-opinion addition. The court affirmed the interlocutory decrees overruling demurrers. It reversed the final decrees and remanded so the trial court could consider appropriate adjustments in relief because a fire reportedly damaged one property after entry of the original decrees, along with other intervening events. Thus, “buyers entitled to rescission” is correct as the substantive holding, while “final rescission decrees simply affirmed” is procedurally incomplete. 356 Mass. at 50-51.

Applications and Limits

Application: historical revenue statement. Reporting last year's rent can be factually accurate but misleading if presented to sell a continuing rental operation while withholding a known order forbidding that use. Ask what a reasonable recipient would understand the communication to assert, not merely whether each word is technically true.

Application: informed purchaser. If the buyer already knows the prohibition, knowingly undertakes the risk, and does not rely on an assurance of lawful continued use, the reliance analysis changes. Public availability alone did not establish such knowledge in *Kannavos*.

The case is also distinct from a warranty that all governmental approvals exist. The court granted relief for deceptive partial disclosure. Whether a contractual warranty supplies an additional claim depends on the actual agreement and should not be invented from the misrepresentation holding.

Speakers of Sport v. ProServ

Citation and Parties

Speakers of Sport, Inc. v. ProServ, Inc., 178 F.3d 862 (7th Cir. 1999). Seventh Circuit; Chief Judge Posner.

Assigned excerpt: CB 521-523. Speakers was the former sports agency and plaintiff; ProServ was its competitor and defendant. Baseball player Ivan Rodriguez was the client whose switch generated the dispute, not the plaintiff suing on an endorsement guarantee.

Material Facts

Beginning in 1991, Rodriguez retained Speakers under successive one-year agreements terminable at will. In 1995, ProServ sought to expand its baseball representation and told him it could obtain between \$2 million and \$4 million in endorsements if he switched. He terminated Speakers and signed with ProServ. ProServ obtained no significant endorsements, and after approximately a year he moved to another agent. That later agent negotiated a five-year, \$42 million playing contract. CB 521-522; 178 F.3d at 863.

Speakers claimed the endorsement representation was fraudulent and induced loss of its client. But Rodriguez's departure did not breach his at-will agreement. That fact limited the former agency's theory: it could not simply claim ProServ had induced a contractual breach or that Rodriguez owed it continued retention. CB 521-523; 178 F.3d at 864.

Procedural History

Speakers sued in federal court under diversity jurisdiction for tortious interference and related Illinois-law violations. The district court granted summary judgment to ProServ. The Seventh Circuit affirmed, construing the record favorably to Speakers to the extent supported. This posture differs from assuming all pleaded facts at a motion-to-dismiss stage. CB 521-522; 178 F.3d at 863.

Issues

Was the endorsement statement an actionable false promise or an aspirational competitive sales pitch? Even if treated as a promise, did it satisfy Illinois's requirements for promissory fraud? Could Speakers establish compensable loss of fees on a later contract negotiated by a different agent?

Rules and Holding

Competition for an at-will client is generally privileged, although the privilege does not authorize fraud or other unlawful means. Illinois's promissory-fraud doctrine, as the court describes it, requires a scheme to defraud supported by more than the allegedly false promise alone. The court held the statement to be aspirational puffery in context and, independently, insufficient to establish the required fraudulent scheme. CB 522-523; 178 F.3d at 864-866.

Reasoning: The Meaning of the Supposed Promise

The court distinguished ProServ's statement from a commitment to employ Rodriguez at a fixed salary or to pay any shortfall below a guaranteed level of endorsements. Third-party advertisers would decide whether to make endorsement deals. Nothing indicated that Rodriguez understood ProServ to be guaranteeing the minimum from its own funds if the deals failed. The reasonable reading was that ProServ would try and was optimistic about the result. CB 522-523.

Lack of control over advertisers was relevant context, not an absolute legal bar to promising an outcome. The court expressly acknowledged that parties can make binding warranties about matters outside their control. A guarantee shifts that risk. The problem was that the actual communication was not reasonably understood as such a guarantee. CB 522-523.

The competitive setting also mattered. Allowing every disappointed forecast to support an inference of fraud would expose competing agents to litigation merely for saying they could serve a client better. The court worried that the old agent could turn an unfulfilled prediction into a jury question about what the new agent secretly intended. The Illinois scheme requirement and the interpretation of the statement as puffery helped limit that risk. 178 F.3d at 864-866.

Full-Opinion Additions: Related Theories and Damages

The full opinion also rejects efforts to rest liability on professional standards or a general accusation of unethical competition without sufficient unlawful means. It addresses the Illinois consumer-protection theory and finds the alleged puffery inadequate in the circumstances. These are additional grounds beyond the casebook's central excerpt about the promise's meaning. 178 F.3d at 865-867.

Independently, Speakers could not establish entitlement to its fee on the later \$42 million playing contract. Another agent negotiated that contract after Rodriguez had left both Speakers and ProServ. Given the at-will relationship and Rodriguez's decision not to return to Speakers, retention through the later negotiation was too speculative to support the requested damages. "He once was our client" did not establish the counterfactual causal chain. 178 F.3d at 867-868.

Distinctions for Class

Puffery concerns what the communication reasonably conveys: some language expresses hope rather than a commitment or factual assurance. A broken binding promise creates a contract issue without automatically proving that the promisor lacked intent to perform at formation. Promissory fraud instead concerns a deceptive representation of then-existing intention, subject to jurisdiction-specific restrictions. CB 519-523.

Application. "We will secure endorsements and pay you the difference if your annual total is below \$2 million" is much closer to a warranty than the statement as construed here. "We already have three signed sponsors" is an assertion about an existing fact. A knowingly fabricated list of sponsors could also supply conduct beyond a lone unfulfilled promise. These changes alter the analysis; they do not establish liability without reliance, causation, and other applicable elements.

Vokes v. Arthur Murray, Inc.

Citation and Parties

Vokes v. Arthur Murray, Inc., 212 So. 2d 906 (Fla. 2d DCA 1968). Florida Second District Court of Appeal; Judge Pierce. Assigned excerpt: CB 523-526. Audrey Vokes was the student seeking equitable relief. The defendants were Arthur Murray, Inc. and J.P. Davenport, who operated the franchised dance studio.

Alleged Material Facts

Vokes, a 51-year-old widow, wanted to become an accomplished dancer and find a new interest in life. After attending a studio event, she purchased an introductory set of eight half-hour lessons for \$14.50. Over less than sixteen months, she was sold fourteen courses totaling 2,302 hours for \$31,090.45. Those figures describe hours purchased, not a finding that she completed 2,302 hours of instruction. CB 523-525; 212 So. 2d at 907-908.

The complaint described sustained praise of her grace, improvement, and dancing potential, accompanied by supposed aptitude tests and sales tied to medals, memberships, and trips. The studio repeatedly sold additional lessons while she retained hundreds or more than a thousand unused hours. Allegedly, the instructors knew that she had little dance aptitude, had trouble hearing the beat, and was not making the represented progress. They withheld that assessment while continuing to sell. CB 524-525.

The allegation was not simply that she paid a great deal for recreation and later regretted it. It was that the instructors knowingly misrepresented their professional evaluation of her present progress and ability to induce further purchases. The surrounding sales practices supported the claimed pattern of overreaching and impaired judgment. CB 524-525.

Procedural History and Relief Requested

The trial court dismissed Vokes's fourth amended complaint with prejudice for failure to state a cause of action. She appealed. The appellate court accepted the material allegations as true for purposes of testing legal sufficiency and reversed. It held that she was entitled to proceed with her claim, not that fraud had been proved after trial. CB 523-526.

Vokes sought cancellation of the dance contracts, an accounting, and recovery of the portion of the payments not chargeable to instruction already given. The opinion did not award the entire \$31,090.45 on appeal. Separating the requested equitable relief from the procedural holding prevents a common overstatement. 212 So. 2d at 908-909.

Issue, Rule, and Holding

Can purported opinions about a customer's dancing ability and progress support relief for fraud or misrepresentation when delivered by instructors with superior knowledge as part of an alleged course of deceptive sales? Yes, at the pleading stage presented. Statements framed as opinions may be actionable in circumstances involving superior knowledge, trust, unequal ability to evaluate the subject, or devices that make the opinion misleading. CB 525-526; 212 So. 2d at 908-909.

Reasoning

The ordinary distinction between fact and opinion did not dispose of the case. The studio's instructors possessed expertise and repeatedly evaluated the student's actual performance. The alleged statements about rapid improvement and favorable aptitude could communicate a knowledgeable factual assessment, not merely enthusiasm. On the pleaded facts, the instructors knew their expressed assessment was false. CB 525.

The court also invoked the obligation to tell the whole truth once one undertakes to speak. Even without an initial duty to disclose every observation, an instructor cannot necessarily offer selectively reassuring evaluations while concealing the contrary knowledge that gives those evaluations meaning. That reasoning links *Vokes* to *Kannavos*, despite the different subject matter. CB 525-526.

The continuing pattern mattered: staged achievements, escalating purchases, large balances of unused lessons, and pressure tied to special opportunities. These allegations made the transaction different from isolated flattering sales language. The court used broader equitable language about undue influence and unconscionability, but the assigned analysis should still identify the concrete allegedly false representations and why reliance on expertise could be justified. CB 524-526.

Reading the Opinion Critically

The opinion uses patronizing and theatrical language about Vokes's age, aspirations, and dancing ability. Those rhetorical choices are not independent legal elements. The notes invite the reader to question what is truly objectionable: deception, price, lack of instructional value, or judicial discomfort with what the customer wanted. A careful analysis grounds potential relief in provable conduct and misrepresentation rather than a judgment that her interests were foolish. CB 526.

A customer may knowingly pay for companionship, pleasure, encouragement, or instruction with modest prospects of technical improvement. The case does not say courts can rescind whenever those benefits are expensive. The allegation that professional instructors knowingly fabricated progress to induce more purchases does the relevant work.

Comparison with Speakers of Sport

Both cases involve favorable statements made to sell services. *Speakers* treats the particular forecast as aspirational competition for a sophisticated professional client and separately applies Illinois's scheme restriction. *Vokes* alleges false expert evaluations of a student's present ability within an ongoing pattern of manipulation. Future-oriented wording and numerical specificity do not automatically determine which case controls.

Application. “You may enjoy the class” is ordinarily different from an instructor's knowingly false report that testing shows substantial technical improvement. A bona fide, clearly qualified assessment differs from fabricated progress. The analysis must remain sensitive to context, proof, reliance, and the governing jurisdiction.

Psenicska v. Twentieth Century Fox Film Corp.

Citation, Assigned Decisions, and Parties

Psenicska v. Twentieth Century Fox Film Corp., 2008 WL 4185752 (S.D.N.Y. Sept. 3, 2008), aff'd, 409 F. App'x 368 (2d Cir. 2009). District Judge Loretta Preska decided the motions; the Second Circuit issued its affirmance on November 17, 2009. Both decisions appear in the assignment: SUPP 22-31 and 32-34 respectively. The appellate disposition is a summary order, not a published precedential opinion establishing a nationwide rule.

The district court addressed three related actions by Michael Psenicska, Cindy Streit and dinner guests, and Kathie Martin. Defendants included film producers, distributors, participants, and related entities in differing combinations. The claims arose from the plaintiffs' appearances in *Borat* and alleged misrepresentations about the project. SUPP 22-26.

Alleged Facts: Psenicska

Psenicska had operated a driving school for 32 years. A producer representative told him the project concerned the integration of foreign people into American life. He agreed to provide a filmed lesson. On the filming day, the crew arrived 90 minutes late, brought \$500, and presented a Standard Consent Agreement. Psenicska alleged he had not expected paperwork, lacked his reading glasses, and signed without reading because he was rushed and relied on prior conversations. SUPP 23.

During filming, Cohen, playing Borat, allegedly drove irresponsibly and made offensive statements. Psenicska complained after the session and unsuccessfully sought an explanation of the film's intended use. The allegations explain why he claimed inducement by a false description; the court did not decide the case by finding that he had read and understood every provision. SUPP 23-24.

Alleged Facts: Streit and Martin

Streit arranged etiquette training and a dinner for a supposed Belarus dignitary in an educational documentary for Belarus television. She and the guests signed consent agreements shortly before the staged dinner. Their complaints concerned offensive behavior and a portrayal implying intolerance. The district court also noted a later separate release by Streit and her business in exchange for \$4,450. SUPP 24-25.

Martin provided etiquette instruction after being told that a foreign reporter's travels were being filmed for Belarus television. She alleged that the schedule was changed after a producer learned her husband might recognize one of Cohen's characters. She received \$350 and signed what was described as a standard filming release. The session included offensive statements and sexually explicit photographs. SUPP 25-26.

These are allegations recounted on dismissal motions. They should not be restated as findings that followed a trial or as proof of defendants' subjective intent beyond the procedural assumptions.

Contract Provisions

The agreements described a documentary-style film and referred to entertaining content intended for a young adult audience. Paragraph 4 broadly released specified claims, including claims involving the use of name or likeness, intrusion, emotional harm, and fraud or surprise about the film or agreement. Paragraph 5 combined an entire-agreement provision with a specific acknowledgement that the participant was not relying on statements about the film's nature or the identity of participants and persons involved. SUPP 26-27.

The district court described the agreements as materially identical, while noting differences in the named production entity and an additional sexually oriented materials provision in Martin's agreement. Those distinctions make it inappropriate to identify the supplement's separate exemplar as the exact instrument signed by every plaintiff. SUPP 25-26 n.8.

Procedure and Questions Presented

Defendants moved under Rule 12(b)(6). The district court could consider the agreements because they were incorporated into or integral to the pleadings. It granted the motions and closed all three actions. The Second Circuit reviewed dismissal and contract ambiguity de novo, accepting allegations and reasonable inferences favorably to plaintiffs. SUPP 27, 31-34.

The principal questions were whether “documentary-style” was ambiguous in a way that excluded *Borat*, whether the participants could avoid their releases for fraudulent inducement despite the specific nonreliance provision, and whether alleged peculiar knowledge or nondisclosure changed the result.

Holding and Reasoning: Documentary Style

The courts rejected the proposed distinction between the contractual description and the film. “Documentary-style” describes a manner of presentation; it does not necessarily warrant that every character and premise is factual. The film used real interactions and documentary conventions to portray the travels of a fictional character. Fiction and humor therefore did not remove it from the described category. SUPP 27-29, 33.

The parties' disagreement about interpretation did not by itself create legal ambiguity. The courts asked whether the proposed alternative meaning was reasonable in the context of the agreement. They concluded no reasonable factfinder could treat the film as outside the documentary-style description on the ground asserted. That ruling allowed interpretation at the dismissal stage.

Holding and Reasoning: Specific Nonreliance

Under the New York rule drawn from *Danann Realty Corp. v. Harris*, a party's specific disclaimer of reliance on the very subject later alleged to be misrepresented can defeat reasonable reliance. Here the provision named the film's nature and the identities of persons involved. Those subjects matched the alleged oral assurances. The court therefore rejected the characterization of the clause as a merely general integration term. SUPP 29-30, 33.

The reasoning is not simply that an agreement contained the word “fraud” in a release. The specific nonreliance language undermined the fraudulent-inducement challenge to the agreement; with that challenge defeated, the broad release barred the claims. Distinguishing those steps explains why an ordinary entire-agreement clause might present a different case.

Peculiar Knowledge and the Appellate Explanation

The plaintiffs invoked an exception for facts peculiarly within the alleged wrongdoer's knowledge. The Second Circuit explained that the exception addresses circumstances where determining the truth would be costly and is not established where a party could insist that an essential oral undertaking be included in the writing. It pointed to simple verification steps and the absence of collateral harm from declining the film offer if acceptable written conditions were refused. SUPP 33-34.

This analysis is open to criticism concerning how meaningful the participants' opportunity was in practice, especially given the alleged last-minute presentation and deliberate staging. But the court did not say the alleged deception was commendable. It held the pleaded circumstances insufficient to escape the specific written allocation of reliance.

The nondisclosure argument also failed. Recasting the same allegations as an omission did not supply the reliance that the written provision negated. Nothing in the written terms affirmatively promised a factual documentary for Belarus television; that understanding depended on the oral assurances whose subject matter the participants specifically disclaimed. SUPP 30, 34.

Disposition and Limits

The district court dismissed all three actions; the Second Circuit affirmed. There was no trial finding that defendants had spoken truthfully. Nor did the courts hold that every release waives every intentional wrong in every jurisdiction. The result rests on New York law, these contractual terms, these alleged statements, and the rejection of the asserted exceptions. SUPP 31-34.

Application. A clause saying only “this writing is the entire agreement” raises a different issue from an express disclaimer of reliance on representations about distribution, project identity, or participants. A written affirmative promise that the footage will be used only in a specified setting may also change the dispute: it could support a claim about breach of that written promise rather than reliance on an excluded oral assurance.

Borat Release: Clause-by-Clause Reading

Which Document Is Assigned?

The supplement reproduces a two-page Standard Consent Agreement at SUPP 35-36, internally paginated 474-475. Its editorial note associates it with a separate lawsuit by two men appearing in *Borat* and reports dismissal in February 2007. Read it as an assigned contractual exemplar. The scan contains handwritten information; no conclusion here depends on identifying the signer or deciphering the handwritten fee.

Opening Exchange and Paragraph 1: Consent and Description

The opening identifies Springland Films as producer and states an exchange involving a participation fee and the opportunity to appear in a motion picture. Paragraph 1 authorizes filming and audiotaping for a documentary-style film and mentions entertaining content directed at young adults. This describes the consent's object and gives context for construing the remaining provisions. SUPP 35.

Application. A participant's belief that the project will be sober, factual, or educational is not necessarily a written limitation on the consent. Compare the particular oral assurances with the actual definition of the film. In *Psenicska*, the distinction between a documentary and a documentary-style work was central.

Paragraph 2: Rights and Uses

The participant assigns relevant rights in the film and contribution to the producer. The clause authorizes broad use and licensing across media, territory, and time, and separately permits use of the contribution and biographical or visual material in advertising, marketing, publicity, and associated products. The breadth addresses both the movie itself and promotional uses. SUPP 35.

This is distinct from a release of liability: it is an affirmative grant of permissions and interests. A later claim that the image was used beyond consent must be compared with the scope of the grant. That comparison does not itself answer whether the agreement was validly obtained.

Paragraph 3: Reliance and Irrevocability

The form states that the producer and its assignees or licensees rely on consent when investing time, money, and effort, and that consent is irrevocable. The clause seeks to stabilize permissions after production resources are committed. It should not be paraphrased as a judicial holding that fraud, duress, or other defenses can never affect consent. SUPP 35.

Paragraph 4: Release and Promise Not to Sue

The form lists a wide range of claims, including publicity and misappropriation, intrusion, false light, emotional distress, trespass, contract, deceptive practices, intellectual-property claims, defamation, fraud, and interference with business or contracts. It also addresses sexually oriented material or activities. The provision seeks both a waiver and an agreement not to sue concerning the listed subjects. SUPP 35.

The fact that a drafter includes a claim in a release does not establish that every conceivable application is enforceable. In the assigned litigation, the courts first addressed the attack on the consent agreements and their scope. Avoid the circular argument that “fraud cannot matter because the possibly fraudulently induced paper says fraud cannot matter.” The specific nonreliance provision supplies a separate analytical step.

Paragraph 5: Integration and Specific Nonreliance

The first part identifies the writing as the entire agreement. The second part disclaims reliance on statements about the film's nature and the identities of participants or persons involved. Integration concerns the writing's status as the agreement; specific nonreliance concerns a factual and legal premise of a later inducement claim. The two functions are related but distinct. SUPP 35; *Psenicska*, SUPP 29-30, 33-34.

The language is powerful because it targets the subjects central to the alleged deception. The dispute is therefore not resolved simply by noticing boilerplate or by saying a participant signed. Ask how precisely the clause covers the representation, which law governs, whether an exception applies, and whether the challenged obligation was actually adopted.

Paragraph 6: Forum and Governing Law

The final clause requires a claim nevertheless brought to be adjudicated by a competent court in New York State and New York County under New York law. The paragraph continues onto the second page; omitting that page loses the full forum and choice-of-law provision. It does not itself create subject-matter jurisdiction in a court that lacks it. SUPP 35-36.

Comparing the Document with the Cases

Kannavos shows how affirmative statements can create a misleading half-truth. *Vokes* shows why professional evaluations may carry actionable factual implications. *Psenicska* adds a written allocation of reliance directed at the alleged statements themselves. The release thus belongs in the fraud unit as a problem about both interpretation and the enforceability of private attempts to limit claims.

Application: drafting from the participant's perspective. If distribution, fictionalization, editing, or identity is essential, an express written restriction or warranty provides a clearer basis for protection than an oral assurance paired with a disclaimer on the same subject. This is an analytical drafting lesson from the assigned provisions, not a guarantee that any particular clause will be enforced.

Fraud Notes and Problems

Disclosure and Useful Information

The introductory notes contrast information deliberately discovered through costly investigation with information learned earlier than others, and distinguish information that produces new social value from information that merely redistributes gains. These distinctions help explain arguments for protecting some informational advantages. They do not erase duties created by affirmative misrepresentation, confidential relationships, or governing statutes. CB 508-510.

Application. A buyer's private geological research and a seller's concealed structural infestation may present different incentives and risks. Ask whether there was a direct false statement, a duty arising from partial disclosure, or an applicable special regime. The securities-law discussion of the Kidd Creek discovery is an example of why knowledge can be treated differently in different transactions; it is not a universal contracts rule.

Discoverability, Reliance, and the Used-Car Problem

The assigned used-car problem involves a seller's representation that a car had air conditioning when its “air” controls only provided ventilation. A specific representation about installed equipment differs from vague praise that the car is “nice.” The remaining question concerns justifiable reliance, including how obvious the falsity was and the buyer's knowledge and opportunity to observe it. The cited *Williams* case illustrates a restrictive approach; *Kannavos* shows that mere availability of a public-record check does not always bar relief. CB 517.

Application. Distinguish a buyer who could have investigated from a buyer who actually knew the statement was false. Also distinguish a physical feature plainly absent during a test drive from a legal restriction invisible on inspection. Neither “the buyer could check” nor “the seller said it” completes the analysis.

The Cattle-Price Problem

A buyer knew that cattle had sold earlier at a higher price and negotiated a lower purchase from a seller who lacked that information. Determine what the buyer actually said during their discussion of earlier sales. Bare possession of better market information differs from an answer that selectively reports sales and implies that no higher prices occurred. That is the bridge from the information-advantage notes to *Kannavos*'s half-truth principle. CB 517.

A Secretly Altered Release

The *Hand v. Dayton-Hudson* note describes an employee who retyped a proposed general release to look unchanged while inserting exceptions for the claims he intended to bring. The problem asks whether rescission and repayment are the only possible response or whether reformation can address the deceptive alteration. It assumes fraud and an excusable failure to detect the change. CB 516.

Application. This is not ordinary negotiation in which a proposed revision is disclosed and accepted. Identify the recipient's intended transaction, the drafter's deceptive presentation, the text actually signed, and the remedy needed to prevent the fraud from controlling the bargain. Reformation, which corrects the writing to reflect the legally relevant agreement, is conceptually different from rescission, which unwinds it.

No-Reliance Clauses

The casebook's "big boy" clause discussion asks how sophistication, legal advice, negotiation, boilerplate, and specificity affect enforcement. *Psenicska* provides a concrete New York application. A clause need not become irrelevant simply because it was standardized, but calling it a "big boy" clause cannot substitute for examining the parties and the actual language. CB 516-517; SUPP 29-34.

Promissory Fraud and Evidence of Present Intent

The *Junk v. Aon* note concerns recruitment to work on a promised software project and alleged statements that staff were already developing it when no development or funding existed. Those present-fact assertions may provide evidence beyond the project's later failure. At-will employment permits termination; it does not by itself answer every claim about deception used to obtain the employee's move. CB 519-520.

The educational examples likewise distinguish a knowingly unsupported representation about available courses from qualified optimism about future accreditation by an independent body. The catalogue's disclaimer, institutional ability to deliver, exact words used, and evidence of knowledge matter. *Speakers* should not be generalized to immunize all false recruitment promises. CB 521-523.

Vokes and the Choice of Remedy

The closing notes invite scrutiny of both the studio's practices and the court's rhetoric. The legally significant wrong must be identified before selecting rescission, repayment, fraud damages, or a statutory remedy. Vokes's own demand sought recovery for unused instruction after an accounting; the appellate ruling merely reopened the case. The historical statutory examples in the notes illustrate additional regulatory responses and are not presented here as a current survey of dance-studio legislation. CB 526.

Synthesis: Applying the Readings Together

A Coherent Modification Analysis

State the existing duty and identify the proposed change. Then select the governing source: common law and § 89, Article 2, New York's signed-writing rule, or the consumer-standard-term framework. Explain assent, consideration or its substitute, and required formalities. Finally, analyze improper pressure and remedies independently. This order prevents a signed writing, a cost increase, or the absence of new consideration from becoming a premature conclusion.

Alaska Packers denies enforcement when the same promised performance is used to extract an increase. *Watkins* recognizes a voluntary surrender and adjustment despite the original risk allocation. *Austin* demonstrates that a goods modification can fail for duress even though Article 2 eliminates the consideration requirement. Section 89 and RLCC § 3 provide different frameworks for separating legitimate adjustment from exploitation of an ongoing relationship.

A Coherent Misrepresentation Analysis

Identify the exact statement or omission and its contextual meaning. Ask whether silence carried a duty, whether a partial truth conveyed a false impression, whether an opinion implied knowledge, or whether a promise misrepresented present intention. Then address the required fault, actual and justified reliance, contractual disclaimers, causation, and the remedy sought. State the procedural posture so that an allegation, a permissible inference, and a proved fact remain distinct.

Swinton rejects the pleaded tort claim for bare nondisclosure. *Kannavos* permits rescission for deceptive partial disclosure despite accessible public records. *Speakers* treats the particular prediction as aspirational and separately applies Illinois's restrictive promissory-fraud rule. *Vokes* allows a claim to proceed based on allegedly false expert evaluations and a course of manipulation. *Psenicska* gives effect to subject-specific nonreliance and broad releases under New York law.

Recurring Errors to Avoid

Do not say that rock removal fell outside the original *Watkins* contract, that defective nets were proved in *Alaska Packers*, that a threat of breach alone establishes duress, or that § 2-209 removes writing and good-faith requirements. Do not say RLCC § 3 always permits a business to force a consumer to accept or leave.

Do not say the final decrees in *Kannavos* were simply affirmed, that *Vokes* awarded all payments back after proving fraud, or that Rodriguez breached his at-will contract. Do not equate every integration clause with specific nonreliance, every failed prediction with fraud, or the supplement's Borat exemplar with Psenicska's own signed agreement. Those distinctions affect the rule, the proof, or the disposition.

Source Locator

Assigned Materials

Casebook. *C&M Textbook 351-700.pdf*, DKLA added-sources folder. Consulted printed pp. 470-484, 487-492, 508-526. Physical PDF pages equal the printed pages minus 307 within these ranges. The file's apparent pagination differs from its filename. [Open casebook source](#).

Selections. *Contracts- Selections.pdf*. § 89 at printed pp. 48-50; §§ 175-176 at 86-87; UCC § 2-209 and comments at 337-339; RLCC § 3 and comments beginning at 490 and continuing through 497. The packet summarizes the assigned provisions rather than reproducing the entire selections. [Open Selections](#).

Supplement. *FA26 Contracts Supplement.pdf*. N.Y. General Obligations provisions at p. 9; *Psenicska* district-court opinion at 22-31; appellate disposition at 32-34; Borat release at 35-36. [Open fall supplement](#).

Opinions and Statutory Checks

Alaska Packers. 117 F. 99 (9th Cir. 1902). [Complete opinion](#). Read with CB 470-473; the full opinion supplies the distinct \$50 and \$60 agreements and original release allegations.

Watkins. 91 N.H. 459, 21 A.2d 591 (1941). [Complete opinion](#). Read with CB 477-480; both sources support the distinction between original duty and voluntary adjustment.

Austin. 29 N.Y.2d 124 (1971). [Official New York opinion, including dissent](#). Read with CB 487-492. The scope of Loral's claim and the disposition are explicit in the full opinion.

Swinton. 311 Mass. 677 (1942). [Complete opinion](#). Read with CB 510-511 and its notes.

Kannavos. 356 Mass. 42 (1969). [Complete opinion](#). The final pages explain the fire-related remand omitted from simplified accounts.

Speakers of Sport. 178 F.3d 862 (7th Cir. 1999). [Complete opinion](#). Read the opinion itself rather than the host's editorial summary; the client did not breach the at-will contract.

Vokes. 212 So. 2d 906 (Fla. 2d DCA 1968). [Online opinion text](#). Assigned text: CB 523-526. The disposition is reversal of dismissal, not a final merits recovery.

Psenicska, district court. 2008 WL 4185752 (S.D.N.Y. Sept. 3, 2008). SUPP 22-31. [Opinion PDF mirror](#). The assigned supplement was the readable source used for close analysis.

Psenicska, appeal. 409 F. App'x 368 (2d Cir. Nov. 17, 2009). SUPP 32-34. [Appellate disposition](#). Discussed separately because it expands the peculiar-knowledge analysis.

UCC § 2-209. [Cornell LII uniform text](#). Official comments were consulted in SEL 338-339. Uniform text and a state's enacted statute must be distinguished when applying the provision to a real dispute.

N.Y. General Obligations Law § 5-1103. [New York Senate statutory text](#). Compared with SUPP 9 and CB 473.

Consumer Contracts Restatement. The assigned § 3 was read in SEL 490-497. [ALI publication announcement, June 26, 2024](#), confirms availability of the official volume; it is not a substitute for the assigned section's text.